

Geopolitical Risk and the Relationship Between Gold, Oil, and the Indian Stock Market

Introduction

In today's interconnected world, events happening in one part of the world can quickly affect economies and financial markets elsewhere. Wars, terrorism, international conflicts, and tensions between countries can increase geopolitical risk and create uncertainty for investors. When this uncertainty rises, investors may become more cautious and change their investment decisions. To measure these changes in geopolitical risk, Caldara and Iacoviello (2022) developed the Geopolitical Risk (GPR) Index, which tracks geopolitical threats and events.

Geopolitical risk can also reach financial markets through commodity prices. Crude oil is particularly sensitive to geopolitical events because conflicts and tensions can raise concerns about oil supply and global economic activity. Gold, in contrast, is often viewed as a safer asset during uncertain periods, as investors may turn to gold when financial markets become more risky. This means that the same geopolitical event can affect oil, gold, and stock markets in different ways.

These relationships are especially interesting in the case of India because the Indian economy and its financial markets are connected to global commodity and financial markets. Changes in crude oil prices can affect the Indian economy, while gold is an important investment asset for Indian investors. At the same time, geopolitical uncertainty can influence the behaviour of investors in the Indian stock market. Although previous studies have examined these relationships, they have often focused on individual relationships or different markets. Therefore, this study aims to examine the relationship between geopolitical risk, gold, crude oil prices, and the Indian stock market using recent data from India.

2. Literature Review

2.1 Geopolitical Risk and Stock Markets

Caldara and Iacoviello (2022) found that an increase in geopolitical risk usually leads to weaker economic and financial conditions. Under these conditions, investment falls and stock prices decline. Following this study, researchers have examined how Indian equity markets react to geopolitical shocks. Evidence from India shows that the impact of these shocks is not the same

across all market indices. Some sectors show greater resilience, while others experience stronger responses. The evidence also suggests that exposure to global markets, oil prices, and exchange-rate movements can influence how individual sectors respond to geopolitical stress.

2.2 Oil Prices and the Indian Stock Market

Sahu et al. (2014) looked at how crude oil prices and the Indian stock market interact over time using data from January 2001 to March 2013. They discovered that oil prices and the Indian stock market are linked in the run but they did not find any short-run cause and effect between oil prices and the Indian stock market. Their impulse response study also revealed that when oil prices rise the Indian stock market reacts with a lasting positive move in the short run. Antonakakis et al. (2017) later studied how geopolitical risk, oil prices and stock markets are related. They found that geopolitical risk can affect the oil-stock connection and its volatility. This shows that the link, between oil prices and the Indian stock market can shift when geopolitical risk changes.

2.3 Gold and the Indian Stock Market

Previous research has given results about the role of gold in stock-market risk. Manuj (2021) found that gold did not always act as a hedge or safe place to go for the stock market especially for people who invest for a long time. On the hand Bhunia and Das (2025), using daily data from 2005 to 2023 found that gold had strong safe-haven qualities during big drops in the Indian stock market. Their DCC-GARCH results showed that gold and stocks had a link, during the Global Financial Crisis, the COVID-19 crash and the Russia-Ukraine conflict. These results show that the role of gold can change depending on how bad and what kind of market stress is happening.

2.4 Geopolitical Risk, Gold and Oil

Recent studies have begun to look at how geopolitical risk relates to financial and commodity assets. Triki and Ben Maatoug (2021) found that gold can offer diversification and safe-haven benefits when geopolitical risk is high. Similarly, Shaik et al. (2024) looked at how geopolitical risk, gold, oil and financial marketers connected and they found that these links shift during major uncertain times, such, as the COVID-19 pandemic and the Russia-Ukraine conflict. These studies show that geopolitical risk can shape how commodities and financial markets interact Most of the evidence comes from global or non-Indian markets.

3. Research Gap

The existing literature shows links between risk and stock markets oil prices and Indian equities and gold and stock-market risk. These links are often looked at one at a time or in different markets and time frames. A few studies have looked at the link between geopolitical risk, gold, oil and financial markets but they mainly focus on global or non-Indian markets. In addition, earlier research gives results about whether gold acts as a hedge or safe haven for Indian equities. For these reasons it would be useful to study the link between geopolitical risk, gold, crude oil prices and the Indian stock market in a single framework, with newer data.

4. Research Question and Objectives

Research Question

- How does geopolitical risk affect the dynamic relationship between gold, crude oil prices, and the Indian stock market?

Objectives

- To examine the impact of geopolitical risk on the Indian stock market.
- To investigate the relationship between crude oil prices and the Indian stock market under changing geopolitical conditions.
- To examine whether gold acts as a hedge or safe-haven asset for the Indian stock market during periods of heightened geopolitical risk.
- To analyze the dynamic interactions among geopolitical risk, gold, crude oil prices, and the Indian stock market.

5. Data and Methodology

The study will use existing time-series data, about risk, crude oil prices, gold prices and the Indian stock market. Geopolitical risk will be measured using the Geopolitical Risk (GPR) Index created by Caldara and Iacoviello (2022). The NIFTY 50 will be used to show the stock market. Crude oil prices and gold prices will act as the commodity variables. The study will use data for a recent period depending on what data is available. The analysis will first look at the statistics the correlations and the stationarity of the variables. After looking at the data the right time-series

econometric methods will be chosen to study the relationships and the way the variables interact over time.

6. Expected Contribution

This study is expected to add to what's already known by looking at how geopolitical risk, gold prices, crude oil prices and the Indian stock market are connected all together in one framework. The results could help investors and portfolio managers better understand how these assets move during times of instability. This research may also be helpful, for policymakers and financial regulators who want to see how global tensions might affect India's markets.

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